



# Product positioning

A vital step in the process of deciding how to market a product is defining how it is distinct from the competition—what is unique about it and what are the qualities that make it better than rival products.

## How it works

Before a company launches a product, the marketing department has to decide how to position it in the marketplace compared to competitors' products. To determine the positioning of a product, marketers must define the most important features and values

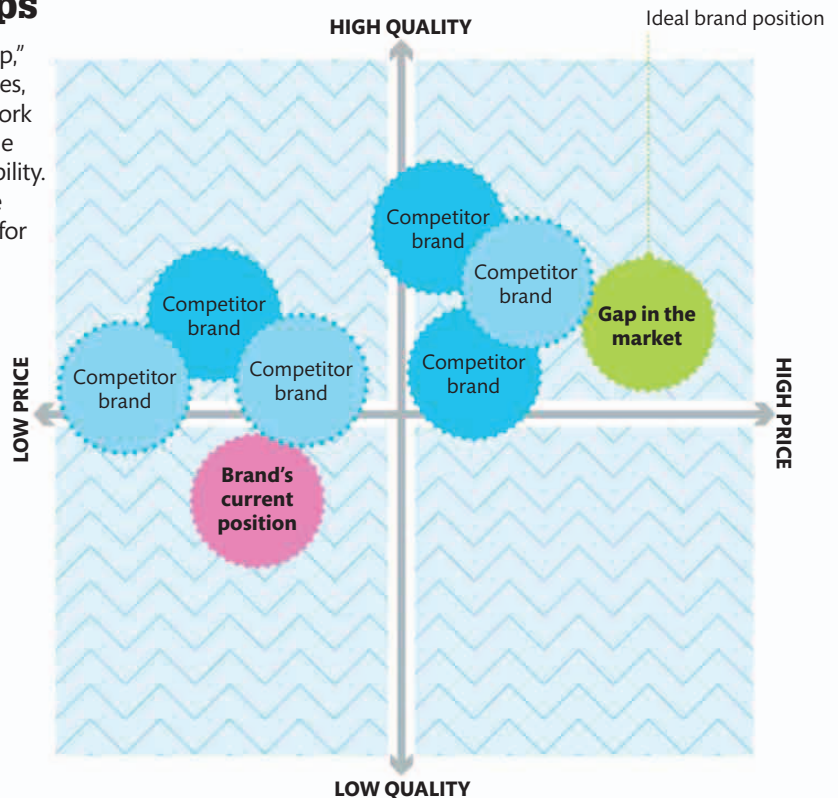
of the product or brand, and clarify how it is different from similar types of products offered by competitors. They also need to identify the criteria that customers are most likely to use when choosing a particular product or brand. With this information the marketers can then create a product positioning matrix or map.

## Product positioning maps

Marketers commonly create a perceptual "map," using a product's two most important attributes, presented as variables on an x and y axis, to work out where to position it. Attributes may include price, quality, status, features, safety, and reliability. Once the map is labeled, existing products are placed on it to reveal the best position or gap for the proposed launch.

### FOUR POSITIONING STRATEGIES

- › **Value positioning** A product plotted on the map so that it has an attractive price while delivering good functional qualities.
- › **Quality positioning** A product that is located on the map on the basis of its perceived quality or superiority.
- › **Demographic positioning** A product mapped according to its appeal to a specific population segment, such as consumers with a particular occupation.
- › **Competitive positioning** A product that is very similar to those of competitors, relying on correct pricing to find a viable position in the marketplace.



### Product positioning template

The map shows how marketers position competing products in the marketplace according to the price/quality variables (the most commonly used) to identify a gap for the new product.